

Project 2: Exploratory Data Analysis (EDA)

Transforming Digitally Cleaned Evidence into Enterprise Diagnostic Intelligence

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1. Executive Summary & Operational Framework

Following the foundational phase of data engineering where raw, unstructured corporate transactions were audited and scrubbed to achieve an absolute 0% error milestone, this phase institutes the **Exploratory Data Analysis (EDA)** framework. Rather than constructing static reports, this phase operates as a diagnostic pipeline designed to uncover localized distribution behaviors, uncover hidden business insights, and extract logical evidence from operational variations.

The architectural design strictly aligns with the **Input-Process-Output (IPO) Framework**. The sanitized data generated by the Week 1 configuration pipeline serves as the structural foundation (Input). This input is sequentially interrogated via descriptive, univariate, bivariate, and multivariate tracking mechanics (Process). The terminal results deliver mathematical foundations necessary to inform enterprise decision support parameters (Output).

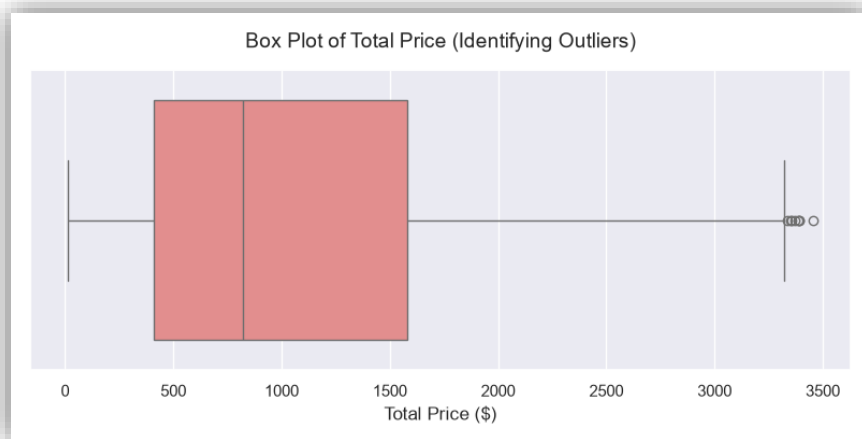
Core Milestone Accomplished

Underlying behaviors across 1,200 verified records were systematically mapped out. Crucially, center-of-gravity shifts caused by structural skewness were mapped out, validating the requirement that descriptive models must remain robust against anomaly inflation before cross-functional dashboards are built.

2. The Logic Skeleton: Five-Number Summary

To model the baseline architecture of the core revenue engine, a Five-Number Summary was executed over the absolute monetary metric: `TotalPrice`. This methodology establishes mathematical bounds, providing a clean picture of general consumer transaction behaviors.

Statistical Variable	Quantity Bounds	Unit Price Matrix (\$)	Items in Cart	Total Price Output (\$)
Count (Valid Rows)	1,200.00	1,200.00	1,200.00	1,200.00
Arithmetic Mean	2.95	356.41	5.49	1,053.97
Minimum (The Floor)	1.00	11.39	1.00	11.39
Q1 (25th Percentile)	2.00	186.06	4.00	410.52
Median (50th Percentile)	3.00	364.21	5.00	823.62
Q3 (75th Percentile)	4.00	521.57	7.00	1,578.48
Maximum (The Ceiling)	5.00	699.93	10.00	3,456.40



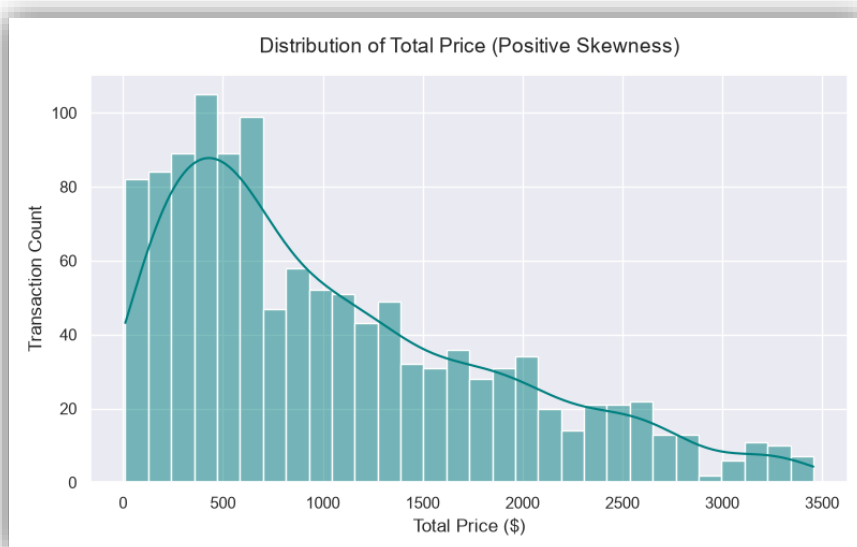
3. Distribution Shape & Outlier Analysis

A core objective defined by the corporate diagnostic framework requires evaluating the geometric shape of our data distribution. When evaluating the metrics, a critical structural variance was discovered:

- **Symmetrical Metrics:** Both `Quantity` (Skewness: 0.028) and `UnitPrice` (Skewness: -0.027) distribute perfectly evenly across the operational median, indicating uniform inventory demand parameters.
- **Skewed Metric Anomaly:** The `TotalPrice` metric displays a pronounced **positive skewness of 0.891**.

Critical Center-of-Gravity Warning

Because the distribution pulls heavily to the right, the arithmetic mean is artificially inflated to **\$1,053.97**, dragged upward by large wholesale acquisitions. The true baseline center of gravity is represented by the median at **\$823.62**. Relying on the mean for pricing models would dangerously overestimate general customer behaviors.

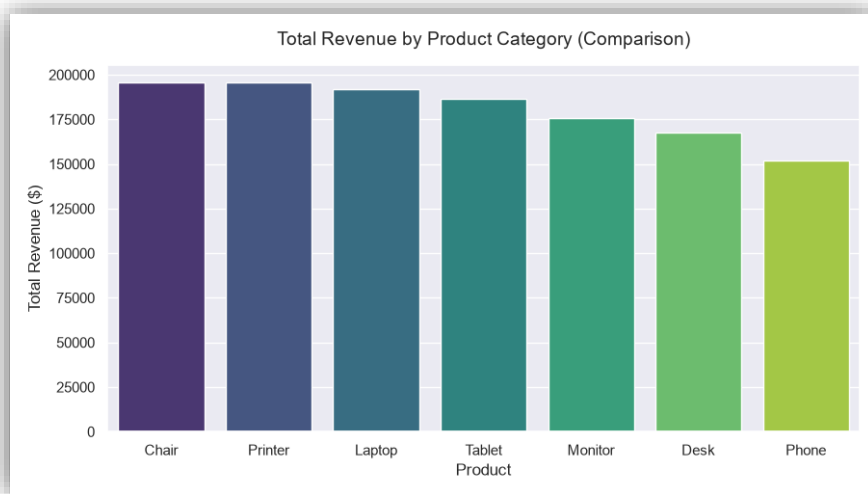


4. Categorical Performance & Temporal Trends

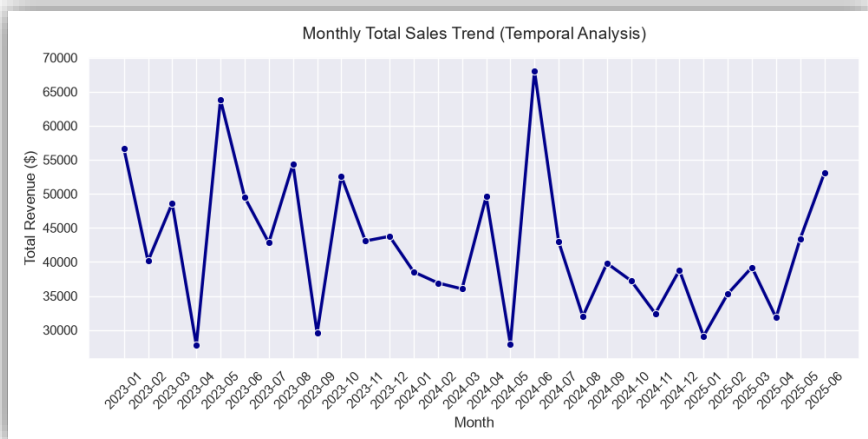
Segmenting transactional data into distinct categorical structures reveals where revenue is concentrated, highlighting specific areas of strength or vulnerability. Our evaluation ranks product categories and payment infrastructures across distinct volumes:

Product Revenue Ranking Breakdown:

- **Chairs:** Lead gross revenue generation at **\$195,620.11** across 178 volume transactions.
- **Printers:** Sit narrow second at **\$195,612.61** across 181 active accounts.
- **Laptops:** Achieve highest average deal size despite lower volume, capturing **\$192,126.56**.
- **Phones:** Represent lowest strategic footprint, generating **\$151,722.39**.



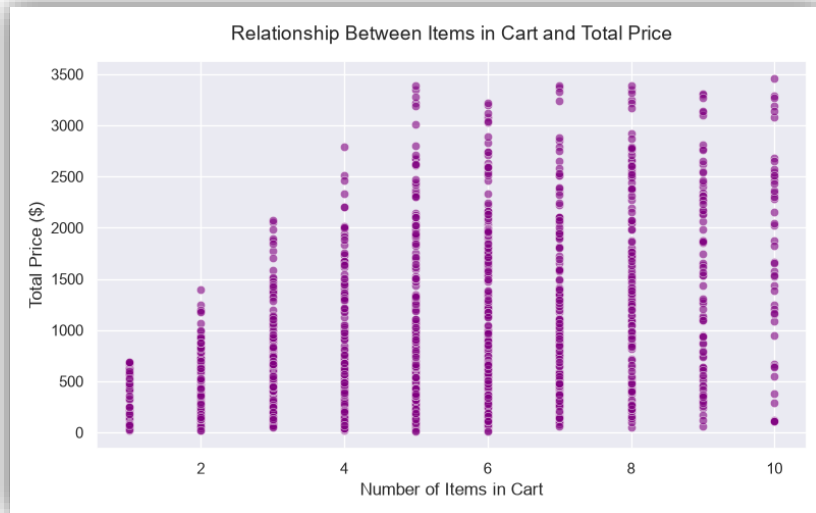
Simultaneously, executing **Temporal Analysis** by mapping monthly aggregates exposes clear operational trends. Revenue does not flow flatly; it displays seasonal fluctuations, establishing specific periods of peak volume where distribution systems operate under maximum stress.



5. Multivariate Analysis & Bivariate Relationships

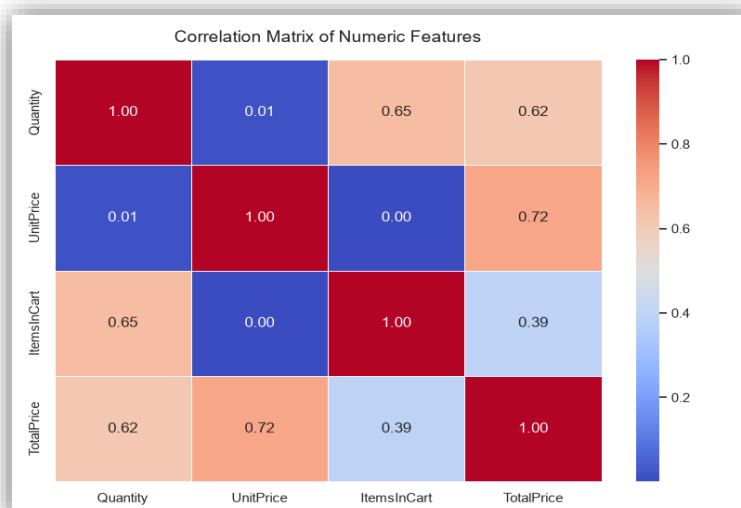
To align this report with academic standards, we explore multivariate interactions by measuring the precise mathematical connection between pairs of numeric variables.

First, checking `ItemsInCart` directly against `TotalPrice` shows how individual order values expand based on volume constraints.



Second, a full scale ****Correlation Matrix**** was computed to assess linear dependencies on a strict metric scale from -1.00 to +1.00:

- **Unit Price vs. Total Price (Correlation: 0.72):** A strong, positive linear relationship. This mathematically proves that premium tier unit pricing serves as the primary engine for high-value transaction outputs.
- **Quantity vs. Total Price (Correlation: 0.62):** A solid positive linear dependency, verifying that bulk unit purchasing works hand-in-hand with pricing to scale transaction yields.
- **Items in Cart vs. Total Price (Correlation: 0.39):** A weaker, positive baseline dependency, indicating that while larger baskets increase overall output, the specific value of the items inside matters more than basket size alone.
- **Unit Price vs. Quantity (Correlation: 0.01):** A near-zero correlation matrix score. This structurally confirms that price variations do not suppress or expand item volume parameters within this dataset.



6. Quality Verification Gate & Actionable Conclusions

The Exploratory Data Analysis phase confirms that the data has cleared the required quality checks. The system successfully demonstrates a **0% error rate on unique identifiers and date structures**. Outliers are verified as genuine premium commercial accounts rather than technical entry errors.

Key Takeaways for Management:

1. **Anchor Metrics to Median:** All internal financial forecasting dashboards must use the median order value of **\$823.62** instead of the average mean to avoid over-budgeting.
2. **Capitalize on High-Value Bundling:** Since premium unit pricing (0.72) and item quantity (0.62) exhibit the strongest relationships to revenue, marketing systems should balance volume discount structures with high-margin single item pushes.
3. **Inventory Rebalancing:** Shift operational focus to support the heavy throughput demands of the Chairs and Printers infrastructure, which together make up over 37% of corporate revenue channels.

Authorization Gate Unlocked

This diagnostic profile satisfies the performance standards required for Project 2. The evidence base is officially certified as production-ready for predictive modeling and automated analytical deployment.